

9708/11/o/n/18.

1-A:

A) Factors affecting demand other than price are held constant: This is the correct option. Ceteris paribus means that all other factors that could potentially influence demand, such as consumer preferences, income levels, substitutes, complements, and external factors, are held constant. By isolating the relationship between price and demand while assuming other factors are unchanged, we can analyze how changes in price affect the quantity demanded.

B) Factors affecting price other than demand (factors affecting demand) are held constant: This option suggests that factors such as production costs, input prices, or supply conditions are held constant. However, ceteris paribus specifically refers to other factors affecting demand being unchanged, not only other factors affecting prices for example: changes in supply.

C) This option implies that changes in price are solely driven by changes in demand. **This is incorrect as "ceteris paribus"** simply means that the focus is on the relationship between price and demand while assuming other factors are constant.

D) Price falls result in increased quantity demanded: This option relates to the law of demand, which states that as price decreases, quantity demanded increases. While this is a valid concept, **ceteris paribus refers to holding other factors constant, not specifically focusing on the relationship between price and quantity demanded**

2-B:

Enterprise represents the "risk taking ability" and the "ability to combine all factors of production", or in other words, combining and altering factors of production by an entrepreneur.

A- Deciding on new export markets involves risk, which represents "enterprise"

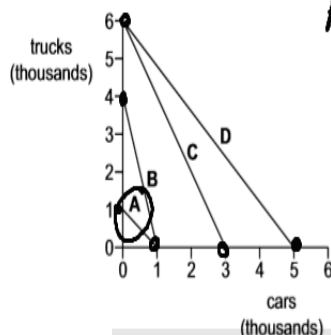
B- Secondly, making payments to suppliers for raw materials and capital goods does not make the one performing it an "entrepreneur". Any worker can also make payments, thus making this incorrect as this does not specifically represent "enterprise"

C- An entrepreneur would combine factors of production in a way, so as to reduce costs to maximize profits since the reward he receives is "profit." Introducing a new shift of employees to reduce costs explains this.

D- Again, introduction of robots also involves risk, and this represents "enterprise"

3 The production possibility curves show the abilities of four economies to produce trucks and cars.

In which economy is the opportunity cost of producing cars lowest?



$A = 1 \text{ car} : 1 \text{ truck} \rightarrow \text{lowest opp. cost}$
 $B = 1 \text{ car} : 4 \text{ trucks}$
 $C = 3 \text{ cars} : 6 \text{ trucks} \Rightarrow 1 : 6/3 \Rightarrow 1 : 2 \text{ trucks}$
 $D = 5 \text{ cars} : 6 \text{ trucks} \Rightarrow 1 : 6/5 \Rightarrow 1 : 1.2 \text{ trucks}$

4-D:

A) Medium of exchange: While money serves as a medium of exchange in general, this specific scenario does not involve an exchange of goods or services using money. It compares the value of two different goods, cakes and tutoring hours, without explicitly involving any exchange.

B) Standard of deferred payment: A standard of deferred payment refers to money's ability to facilitate transactions where payment is delayed to a future date. The scenario does not involve any deferred payments or transactions where payment is postponed.

C) Store of value: A store of value refers to the ability of money to hold its value over time and be used for future transactions. The scenario does not involve the storage of value or the consideration of money's stability as a means of preserving wealth.

D) Unit of account: This is the correct option. A unit of account refers to money's function of providing a common measure or standard for expressing the value of goods, services, or resources. In this scenario, the value of one hour of Aisha's tutoring is expressed in terms of two of John's cakes. Money serves as a unit of account by allowing the comparison and valuation of these different goods in a common monetary unit.

5-C:

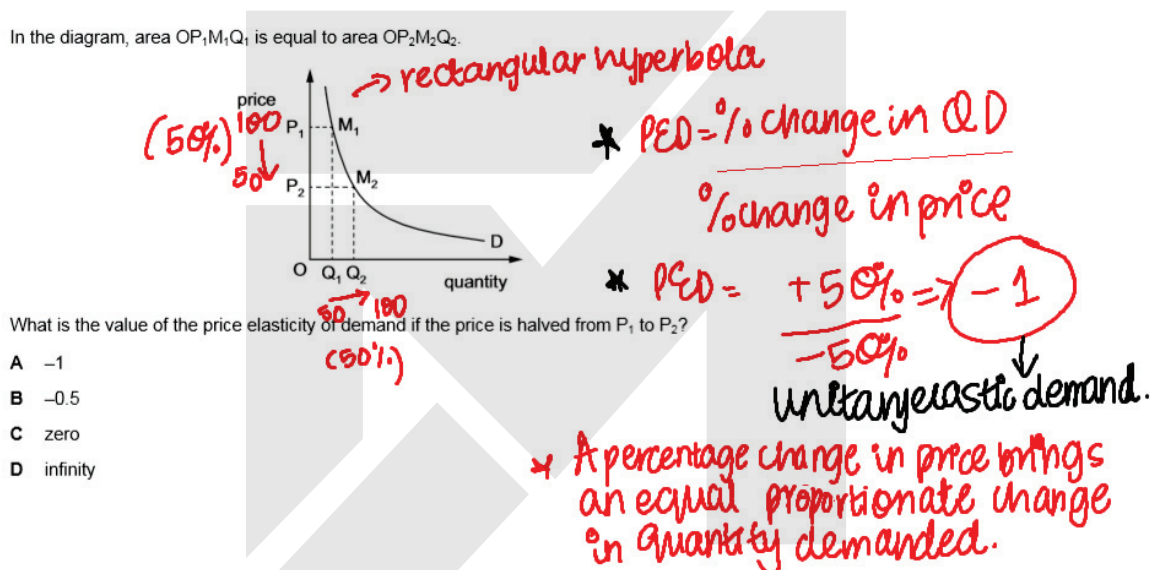
A- A decrease in student fee at a university would cause a movement along the demand curve of student places at universities.

B- A decrease in the level of youth unemployment means that more youth is employed, and this means that they will have less time to pursue higher education, thus reducing the demand for student places.

- C- An increase in graduate earnings versus those who have not yet graduated means that people would increase the demand for higher education to achieve graduation ,to gain the possibility of earning higher incomes in future. This also brings about an increase in demand for student places in universities, making key C , correct.
- D- Higher A-levels grade requirement means that those who cannot fulfill this criterion would no longer demand university education.

6-A:

6 In the diagram, area $OP_1M_1Q_1$ is equal to area $OP_2M_2Q_2$.



7-C:

For a particular good to be a "normal good", the value of income elasticity of demand must be "positive", so that a positive relationship between income and qty demanded of normal good is represented. Upon a rise in income, individuals would increase their demand for normal goods, that are superior goods which are luxurious in nature, to replace inferior substitutes.

Similarly, for two goods to be complements, the value of XED must be negative, so that a negative relationship between the price of one good and qty demanded of another is represented.

For example, a rise in the price of cars apart from causing a contraction in qty demanded of cars, would also result in a fall in demand of petrol.

8-C:

$$PBS = \frac{\% \text{ change in QS}}{\% \text{ change in price}} = \frac{\frac{\text{New QS} - \text{Old QS}}{\text{Old QS}} \times 100}{\frac{\text{New price} - \text{Old price}}{\text{Old price}} \times 100}$$

Requirements

- ① Original price
- ② New price
- ③ Old quantity supplied
- ④ New quantity supplied

From above, we can see why option C will be correct.

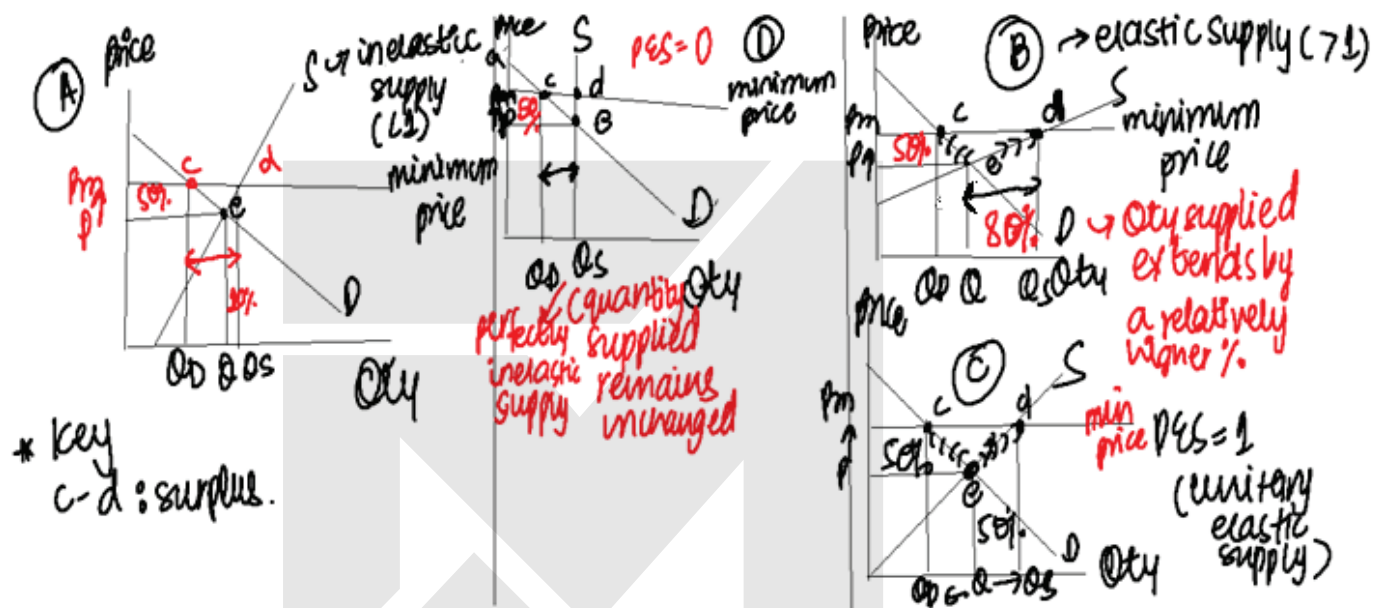
A: A will be incorrect since we do not require quantity demanded at the original price. Instead of the amount of the price change, we need the percentage change in price.

B: We do not require quantity demanded at equilibrium, thereby making this incorrect.

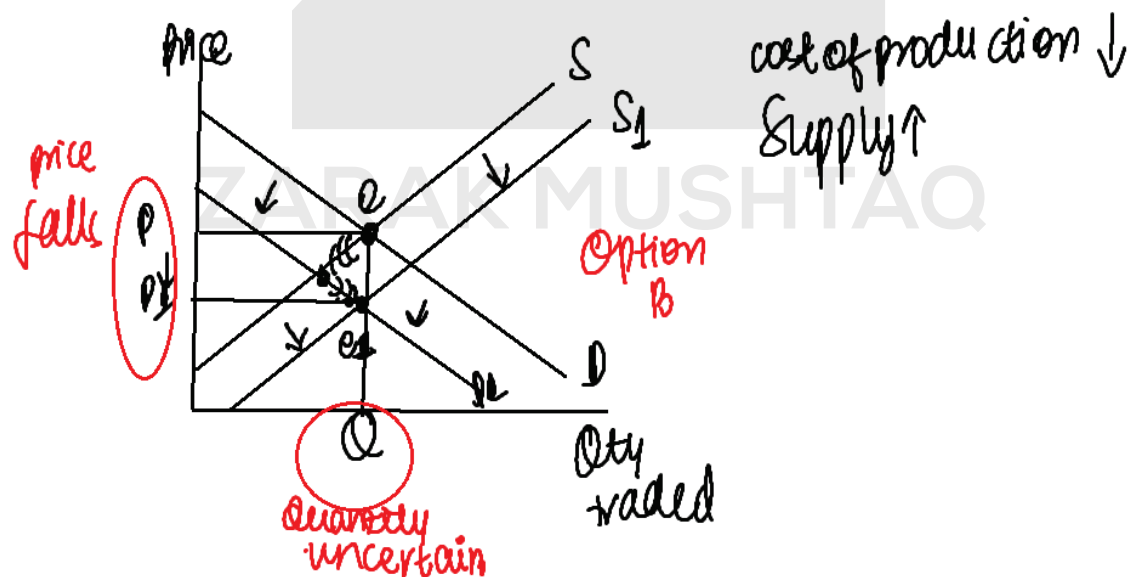
D: We do not require the quantity demanded at the new price, and also, we are not interested in price change as we need the percentage change in price.

ZARAK MUSHTAQ

9-D: The diagrams below explain why option D will be correct



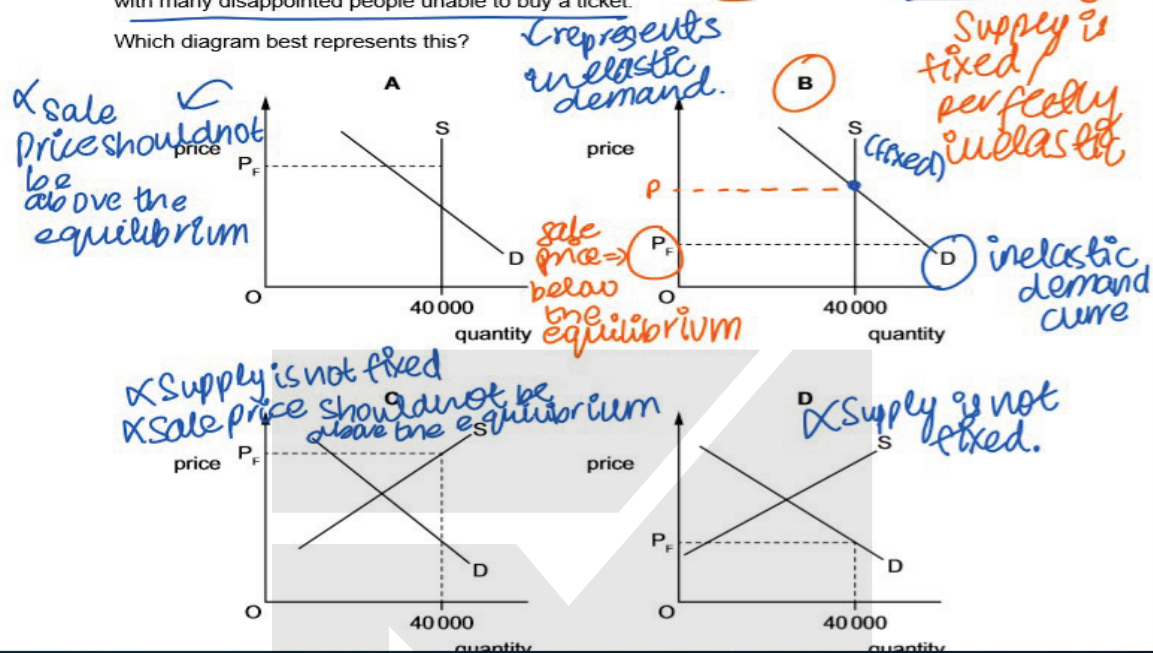
10-B:



11-B:

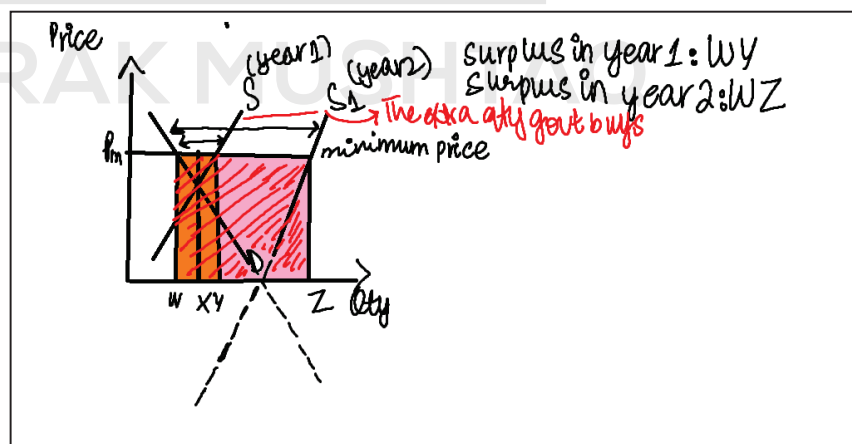
- 11 The final of a major sports event is held in a stadium which has a fixed capacity of 40,000 people. The price for a seat is set at P_F , but when the tickets go on sale all tickets are sold very quickly with many disappointed people unable to buy a ticket.

Which diagram best represents this?

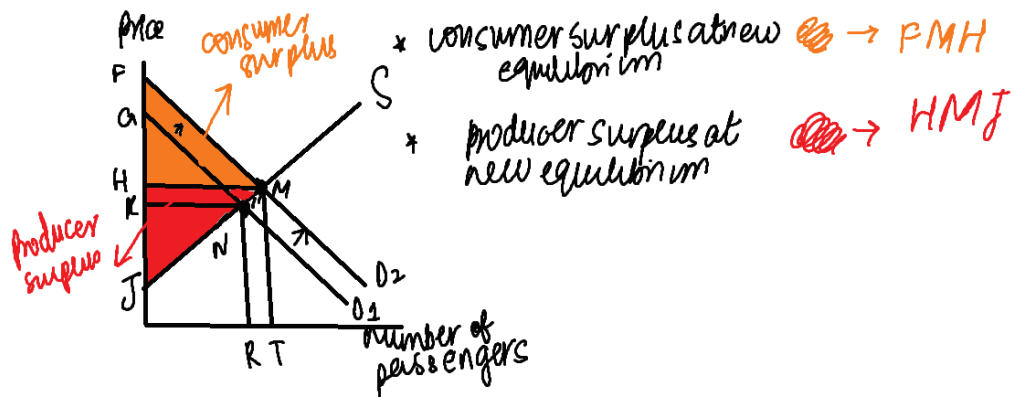


12-D:

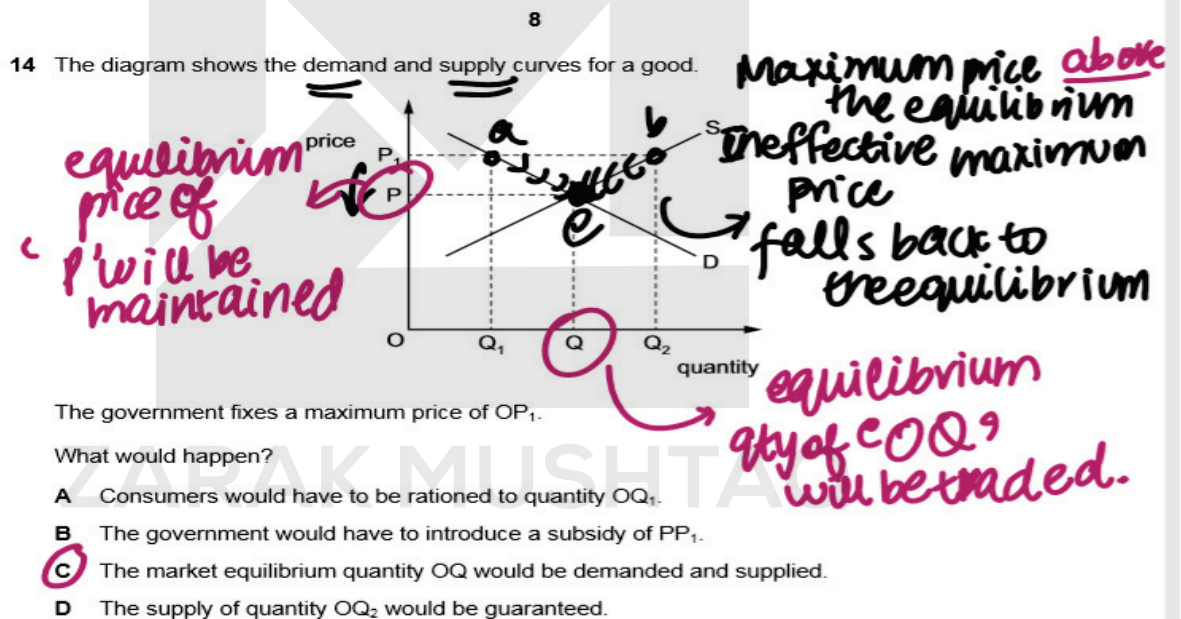
The surplus, as a result of minimum price legislation, was WY in year 1, whereas the surplus in year 2 was WZ. The government will have to buy surpluses in both the years, through its buffer stock scheme, in order for prices to be maintained at OP . The question asks how much more will the govt need to buy in year 2 as compared to year 1, which means that we are asked to tell the additional surplus that the govt will need to purchase. The difference between the surplus of year 2 and year 1 will be calculated, which is shown through YZ , ($WZ - WY$), thus making D the answer, this is shown in the figure on the right, the area YZ is highlighted through pink.



13-A:



14-C:



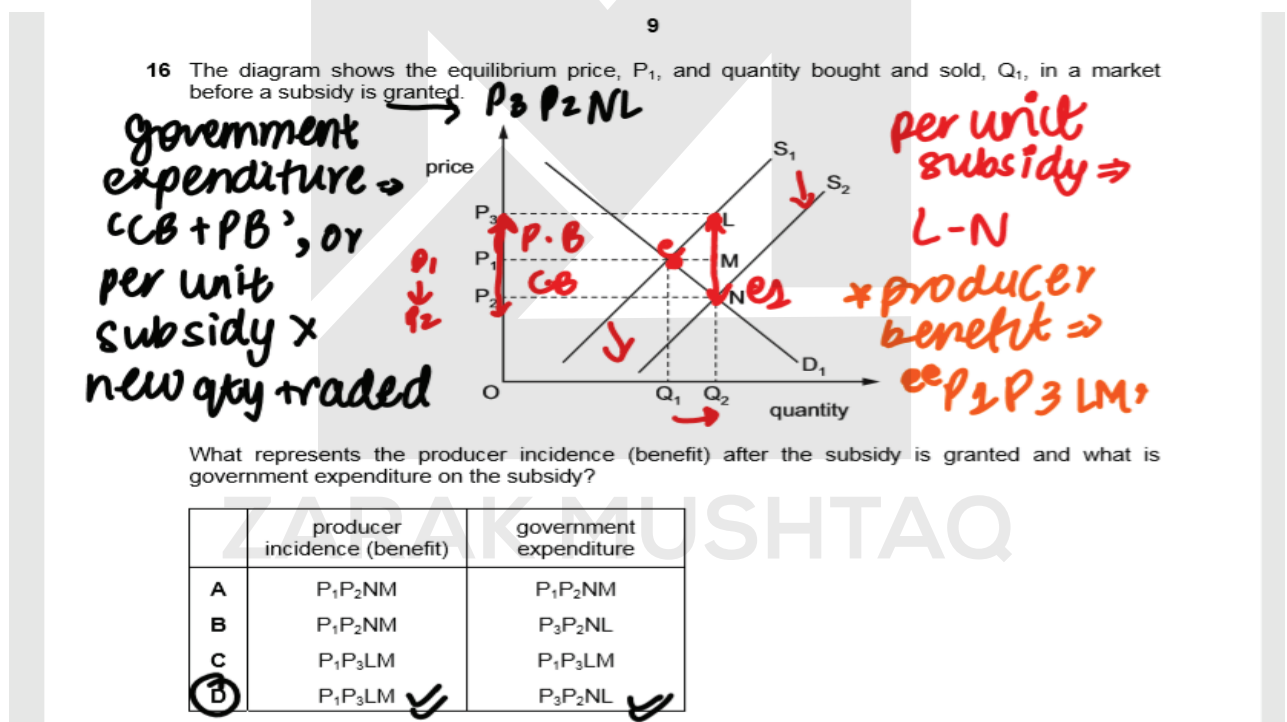
15-C:

Distribution of income becomes more equal: By decreasing the tax rate on goods and services, that is, **regressive taxes**, that take up a greater proportion of incomes of the poor as the rate of tax falls upon a rise in income, the cost of these goods and services for consumers is

reduced. This can benefit individuals with lower incomes proportionally more since they tend to spend a larger portion of their income on goods and services. On the other hand, increasing the tax rate on incomes (representing progressive taxes, that take up a greater proportion of incomes of the rich as the average rate of tax rises upon a rise in income) affects higher-income individuals more significantly as it reduces their take-home pay. This combination of changes in tax rates can result in a relatively more equal distribution of income since it reduces the burden on lower-income individuals and places a greater burden on higher-income individuals.

Incentive to work decreases: Increasing the tax rate on incomes can reduce the incentive for individuals to work or earn higher incomes. Since the marginal rate of tax is greater than the average rate of tax, individuals keep a smaller portion of the extra income they earn. This can reduce the rewards and motivation for individuals to put in extra effort, seek higher-paying jobs, or engage in additional work activities. As a result, the incentive to work may decrease as the financial benefits of earning higher incomes are diminished by higher tax liabilities.

16-D:



17-D:

A) When employed: When an individual is employed, their main source of income is typically the wages or salary they receive from their job. Transfer payments, such as social assistance, are usually supplemental income sources and not the main source for employed individuals.

B) When investing: Investing involves generating income through various financial activities such as stocks, bonds, real estate, or businesses. While transfer payments may contribute to an individual's overall income, they are not typically the main source of income for individuals who are actively engaged in investing.

C) When saving: Saving refers to setting aside money or assets for future use or emergencies. Transfer payments may contribute to an individual's savings, but they are not usually the primary source of income when someone is actively saving.

D) When unemployed: This is the correct option. Transfer payments, such as unemployment benefits or welfare assistance, are designed to provide financial support to individuals who are unemployed and do not have an active source of income.

18-B:

A) A firm exposed to market forces is more likely to be efficient: This argument supports the idea that market competition promotes efficiency. However, nationalization involves transferring ownership and control of private companies to the government, which reduces the role of market forces. Therefore, this argument contradicts the justification for nationalization.

B) **It avoids the wasteful duplication of resources:** This is the correct option. The argument for nationalization often emphasizes that it can prevent the duplication of resources by consolidating multiple privately-owned companies in the same industry into a single, government-controlled entity. This consolidation aims to reduce redundancy of resources, and improve resource allocation.

C) The stock market can exert effective discipline on the industry: This argument suggests that the stock market, can discipline companies and promote efficiency. However, nationalization involves removing the company from the stock market and placing it under government ownership. Here another advantage of privatization is presented, thus making this incorrect.

D) There are benefits from wider share ownership: This argument highlights the advantages of broadening share ownership among the public **as this helps generate a large pool of finance for investment.** Nationalization, on the other hand, involves transferring ownership from private shareholders to the government, limiting share ownership to the state.

19-C:

19 The table illustrates macroeconomic data for an economy. All figures are in \$ billions.

$AD = C + I + G + (X - M)$ net exports

What is the equilibrium real output?

Total

		consumption expenditure	investment	government expenditure	exports	imports	real output
⇒ 250	A	110	100	50	10	20	100
⇒ 270	B	120	100	60	20	30	200
⇒ 300	C	140	100	70	30	40	300
⇒ 330	D	160	100	80	40	50	430

20-B:

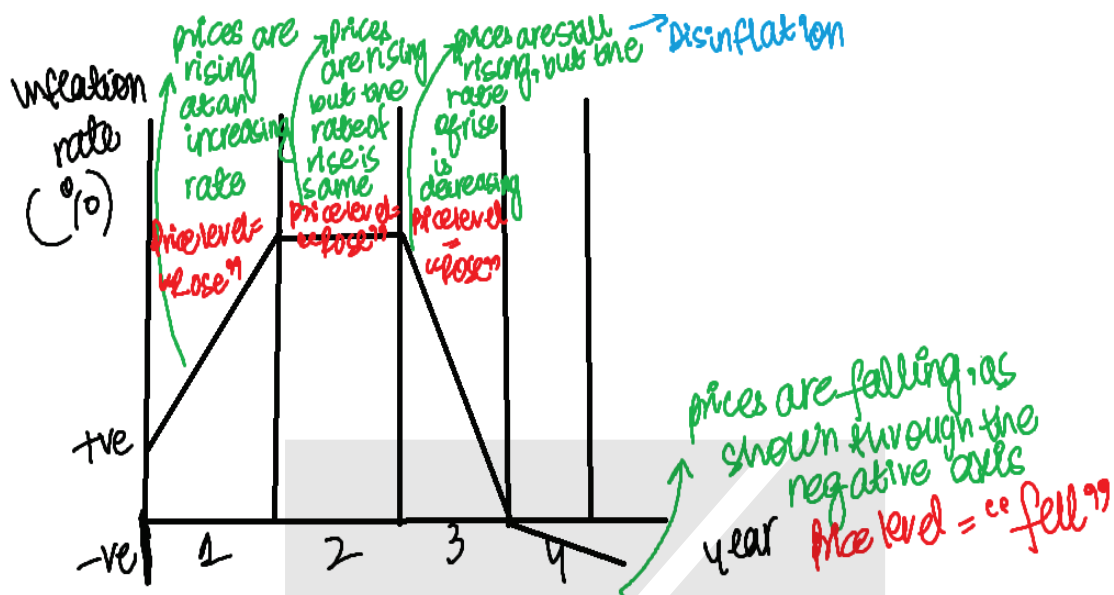
A: An increase in investment represents injections into the circular flow, which will increase Aggregate demand

B: An increase in the marginal rate of tax will create disincentive effects for workers as they would not seek promotion or work overtime, knowing that a greater proportion of the extra income earned will be taxed, and when this reduces the labor hours available, this shortage of labor will put an upward pressure on wages, which will increase costs and decrease Aggregate supply, thus making this “option correct”

C: Technological advancements often lead to improvements in productivity, allowing firms to produce more output with the same amount of inputs or resources. This increased efficiency and productivity translates into a reduction in costs and therefore increase Aggregate supply.

D: Geographic mobility schemes can lead to improved productivity. When workers have the flexibility to move to areas where their skills are in high demand or where industries are more technologically advanced, they are more likely to find employment that matches their abilities. This alignment of skills and job opportunities can result in increased productivity of the individual, contributing to a higher aggregate supply.

21-D:



22-B:

22 The table shows selected items of the balance of payments of a country in 2015.

	\$ billions
net portfolio investment	+40
trade in goods	-100
trade in services	+50
interest, profit and dividends (primary income)	+10
current transfers (secondary income)	+10
transactions in financial assets	-10

→ Capital and financial account
 → Current account
 → Current account
 → Current account
 → Current account
 → Capital and financial account

What was the country's current account balance in 2015?

- A -\$40 billion B -\$30 billion C -\$20 billion D -\$10 billion

$-100 + 50 + 10 + 10 \Rightarrow \$30 \text{ billion deficit}$

23-A:

- A- If a government increases the aid it pays to countries abroad, this represents an increased outflow from the secondary income section of the current account, which will in turn lead to **an increase in deficit**
- B- An increase in tax rates, for example, a rise in income taxes after having reduced disposable incomes, would reduce consumption even on imported goods, leading to the deficit being reduced.

- C- An increase in other countries' exchange rate means that their exported goods would become relatively expensive, therefore making our country's exports relatively competitive, resulting in an extension in international qty demanded by a relatively higher percentage, when the demand for them elastic, leading to a rise in export revenues, again reducing the deficit.
- D- If there is increase in savings, then spending and in turn consumption of imported goods would fall too, leading to the deficit being reduced.

24-D:

For the exchange rate to appreciate, we are either interested in an option that results in an increase in demand of currency and a decrease in supply of currency.

A- If the US consumers reduce the demand of chocolate produced in the UK, this will in turn reduce export revenues, causing the "demand for the currency" to fall, leading to the exchange rate of UK to depreciate

B- A switch in the destination of UK tourists from US to Africa, will still mean that import of service is being done by the UK, and the supply of currency is likely to stay unchanged

C- A wheat crop failure would require more imports of wheat, subsequently leading to a rise in the supply of currency, as a result of which **the exchange rate will depreciate.**

D – If US investors increase their investments in the UK, this will lead to more inflows in the country, and a rise in the demand for currency will lead to the **exchange rate being appreciated.**

This is why, key D, becomes correct.

25-D:

25 The table shows the ability of two countries, P and Q, to produce two goods, Y and Z.

	production of good Y per person	production of good Z per person
country P	1000	1600
country Q	1500	2000

Which statement is correct?

- A P has an absolute advantage in Z and Q has a comparative advantage in Y.
 B P has an absolute advantage in Z and Q has an absolute advantage in Y.
 C P has a comparative advantage in Y and Q has an absolute advantage in Z.
 D P has a comparative advantage in Z and Q has an absolute advantage in Y.

Country Q: $1500 Y : 2000 Z$
 $1 Y : \frac{2000}{1500} Z$
 $1 Y : 1.33 Z$

* Q has an absolute advantage in producing both: good Y and good Z

Country P:-

$1000 Y : 1600 Z$

$1 Y : \frac{1600}{1000} Z$

$1 Y : 1.6 Z$

* P would have a comparative advantage in Z

* lower opportunity cost ratio; Q has a comparative advantage in Y.

26-A:

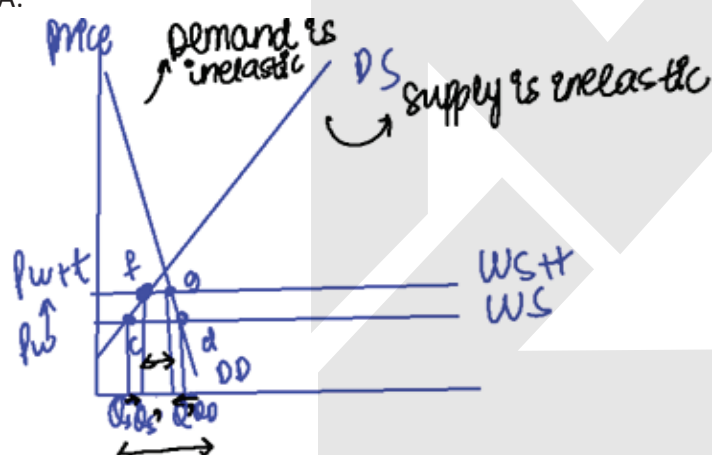
A: Imposition of an embargo means that “protectionism will increase”. Similarly, reducing subsidies to domestic producers will mean that “protectionism decreases”, as export subsidies is a tool of protectionism. This is why, this becomes correct

B: Imposing exchange controls would increase protectionism. But lowering quota levels implies that now less of imported goods are allowed in the country, which increases the protectionism done

C: Voluntary export restraints or export visas would increase protectionism, but increasing subsidies to domestic producers would increase protectionism too.

D: Here, removing quotas will “reduce protectionism”, and “introducing embargoes” would increase it

27-A:



When the demand for imports is inelastic (0.4) and the supply of steel domestically is inelastic too (0.2), there will be a contraction in qty demanded by a relatively smaller percentage, and due to low responsiveness of producers, qty supplied extends by a relatively smaller percentage. This means that, the area of shortage or the volume of imports contracts by a relatively smaller percentage.

28-C:

A) A decrease in import tariffs: decreasing import tariffs can potentially reduce government revenue by reducing customs duties, leading to a **worsening effect on the budget deficit**.

B) A decrease in the rate of interest: Decreasing the rate of interest would lead to depreciation of the **exchange rate**. Because of which, now the burden of debt servicing to the government will increase as now more units of the domestic currency will have to be exchanged for less units of foreign currency, and more outflows will increase the budget deficit.

C) An increase in the sale of state-owned assets: This is the correct option. By increasing the sale of state-owned assets, such as government-owned companies or properties, the government can generate revenue and reduce the budget deficit. This is why, this becomes correct.

D) An increase in government pension payments: Increasing government pension payments would lead to higher expenditure and potentially increase the budget deficit rather than reducing it.

29-B:

In order to correct an adverse balance on the current account of the balance of payments, the policy that is most likely to help is devaluing the currency. Here's why the other options are incorrect:

A) Abolishing tariffs: **Reduction in tariffs will make it cheaper to import which will contribute to a rise in import expenditures, leading to a "worsening effect" on the deficit.**

B) Devaluing the currency: This is the correct option. Devaluing the currency can help correct an adverse balance on the current account by making exports more competitive and imports relatively more expensive. When a currency is devalued, it means its value decreases in relation to other currencies. This makes exports cheaper for foreign buyers and imports more expensive for domestic consumers, which can help boost exports and reduce imports, helping to achieve a Balance of trade surplus in the long run, when the Marshall Lerner condition is satisfied, that is, the combined sum of price elasticities of demand of imports and exports is greater than 1, thereby improving the current account balance.

C) Reducing direct taxes: Reducing direct taxes for e.g, income taxes, when increases the disposable incomes of individuals , would contribute to a rise in consumption expenditure, **even on imported goods, which will exacerbate the deficit.**

D) Reducing indirect taxes: Reducing indirect taxes will reduce the prices, and when it leads to a rise in real incomes, consumption expenditure, even that on imported goods will increase, which will potentially exacerbate the deficit.

30-B:

Reducing the tax on company profits from 28% to 20% can be considered both an expansionary fiscal policy and a supply-side policy. Here's why:

Expansionary Fiscal Policy: An expansionary fiscal policy aims to stimulate economic growth and increase aggregate demand by increasing government spending, reducing taxes, or a combination of both.

In this case, reducing the tax on company profits leads to a decrease in the overall tax burden on businesses. This policy change provides businesses with more retained earnings and potential funds for investment, expansion, and hiring. By reducing taxes on company profits, the government aims to stimulate investment, which can contribute to increased aggregate demand and overall economic growth.

Supply-Side Policy: Supply-side policies are aimed at improving the productive capacity and efficiency of the economy. By reducing the tax on company profits, businesses are left with higher after-tax profits, which can be reinvested in capital, research and development, and innovation. This policy change can incentivize businesses to increase their productive capacity, invest in new technologies, and enhance their competitiveness.